

AN ACT relating to appropriations providing financing and conditions for the operations, maintenance, support, and functioning of the Transportation Cabinet of the Commonwealth of Kentucky.

Be it enacted by the General Assembly of the Commonwealth of Kentucky:

➔Section 1. The Transportation Cabinet Budget is as follows:

PART I

OPERATING BUDGET

(1) Funds Appropriations: There is appropriated out of the General Fund, Road Fund, Restricted Funds accounts, or Federal Funds accounts for the fiscal year beginning July 1, 2025 and ending June 30, 2026, for the fiscal year beginning July 1, 2026, and ending June 30, 2027, and for the fiscal year beginning July 1, 2027, and ending June 30, 2028, the following discrete sums, or so much thereof as may be necessary. Appropriated funds are included pursuant to KRS 48.700 and 48.710. Each appropriation is made by source of respective fund or funds accounts. Appropriations for the budget units of the Transportation Cabinet are subject to the provisions of Chapters 12, 42, 45, and 48 of the Kentucky Revised Statutes and compliance with the conditions and procedures set forth in this Act.

A. TRANSPORTATION CABINET

Budget Units

1. GENERAL ADMINISTRATION AND SUPPORT

	2026-27	2027-28
General Fund	500,000	500,000
Restricted Funds	2,801,000	2,741,700
Road Fund	82,689,200	83,390,700
TOTAL	85,990,200	86,632,400

(1) Biennial Highway Construction Plan: The Secretary of the Transportation Cabinet shall produce a single document that shall detail the enacted fiscal biennium

2026-2028 Biennial Highway Construction Program and the 2028-2032 Highway Preconstruction Program Plan.

(2) Adopt-A-Highway Litter Program: The Transportation Cabinet and the Energy and Environment Cabinet may receive, accept, and solicit grants, contributions of money, property, labor, or other things of value from any governmental agency, individual, nonprofit organization, or private business to be used for the Adopt-a-Highway Litter Program or other statewide litter programs. Any contribution of this nature shall be deemed to be a contribution to a state agency for a public purpose and shall be treated as Restricted Funds under KRS Chapter 45 and reported according to KRS Chapter 48, and shall not be subject to restrictions set forth under KRS Chapter 11A.

(3) Riverport Improvements: Included in the above General Fund appropriation is \$500,000 in each fiscal year to improve public riverports within Kentucky. The Secretary of the Transportation Cabinet, in conjunction with the Kentucky Water Transportation Advisory Board, shall determine how the funds are distributed.

2. AVIATION

	2026-27	2027-28
General Fund	1,165,500	1,183,700
Restricted Funds	18,921,300	18,947,400
Federal Funds	500,800	500,800
Road Fund	835,900	833,700
TOTAL	21,423,500	21,465,600

(1) Operational Costs: Notwithstanding KRS 183.525(5), the above Restricted Funds appropriation includes operational costs of the program in each fiscal year.

(2) Debt Service: Included in the above Road Fund appropriation is \$835,900 in fiscal year 2026-2027 and \$833,700 in fiscal year 2027-2028 for debt service on previously authorized bonds. Notwithstanding KRS 183.525, \$835,900 in fiscal year

2026-2027 and \$833,700 in fiscal year 2027-2028 is transferred to the Road Fund from the Kentucky Aviation Economic Development Fund to support debt service on those bonds.

3. DEBT SERVICE

	2026-27	2027-28
Road Fund	100,330,300	103,213,000

(1) Economic Development Road Lease-Rental Payments: Included in the above Road Fund appropriation is \$100,080,300 in fiscal year 2026-2027 and \$102,963,000 in fiscal year 2027-2028 for Economic Development Road lease-rental payments relating to projects financed by Economic Development Road Revenue Bonds previously authorized by the General Assembly and issued by the Kentucky Turnpike Authority.

(2) Debt Payment Acceleration Fund Account: Notwithstanding KRS 175.505, no portion of the revenues to the state Road Fund provided by the adjustments in KRS 138.220(2), excluding KRS 177.320 and 177.365, shall accrue to the Debt Payment Acceleration Fund account during the 2026-2028 fiscal biennium.

4. HIGHWAYS

	2026-27	2027-28
Restricted Funds	197,654,900	198,294,800
Federal Funds	1,275,288,600	1,284,495,000
Road Fund	1,167,096,400	1,215,769,000
TOTAL	2,640,039,900	2,698,558,800

(1) Debt Service: Included in the above Federal Funds appropriation is \$69,146,800 in fiscal year 2026-2027 and \$11,351,900 in fiscal year 2027-2028 for debt service on Grant Anticipation Revenue Vehicle (GARVEE) Bonds previously appropriated by the General Assembly.

(2) Biennial Highway Construction Program: Included in the State Supported

1 Construction Program is \$598,505,900 in fiscal year 2026-2027 and \$624,807,200 in
2 fiscal year 2027-2028 from the Road Fund for state construction projects in the 2026-
3 2028 Biennial Highway Construction Program.

4 **(3) Highway Construction Contingency Account:** Included in the State
5 Supported Construction Program is \$31,000,000 in Road Fund each year for the Highway
6 Construction Contingency Account. Notwithstanding KRS 224.43-505(2)(d), included in
7 the Highway Construction Contingency Account is \$5,000,000 in each fiscal year for the
8 Kentucky Pride Fund created in KRS 224.43-505. Also included in the Highway
9 Construction Contingency Account for Railroads is \$1,600,000 in each fiscal year for
10 public safety and service improvements which shall not be expended unless matched with
11 non-state funds equaling at least 20 percent of the total amount for any individual project.
12 Additionally, in each fiscal year, up to \$350,000 of the \$1,600,000 appropriation may be
13 used to research the merits and responsibilities of the Kentucky Rail Office in the
14 Kentucky Transportation Cabinet and establish and administer the Kentucky Rail Office.

15 **(4) County Priority Projects Program:** Included in the State Supported
16 Construction program is \$20,000,000 in each fiscal year from the Road Fund for the
17 County Priority Projects program to assist with county and city roads.

18 **(5) County and City Bridge Improvement Program:** Included in the State
19 Supported Construction Program is \$25,000,000 in each fiscal year in Road Fund to
20 support the County and City Bridget Improvement Program.

21 **(6) 2024-2026 Biennial Highway Construction Plan:** Projects in the enacted
22 2024-2026 Biennial Highway Construction Plan are authorized to continue their current
23 authorization into the 2026-2028 fiscal biennium. If projects in previously enacted
24 highway construction plans conflict with the 2026-2028 Biennial Highway Construction
25 Plan, the projects in the 2026-2028 Biennial Highway Construction Plan shall control.
26 The Secretary shall make every effort to maintain highway program delivery by adhering
27 to the timeframes included in the 2026-2028 Biennial Highway Construction Plan for

1 those projects.

2 **(7) Kentucky Transportation Center:** Notwithstanding KRS 177.320(4),
3 included in the above Road Fund appropriation is \$290,000 in each fiscal year for the
4 Kentucky Transportation Center.

5 **(8) State Match Provisions:** The Transportation Cabinet is authorized to utilize
6 state construction moneys or Toll Credits to match federal highway moneys.

7 **(9) Federal Aid Highway Funds:** If additional federal highway moneys are
8 made available to Kentucky by the United States Congress, the funds shall be used
9 according to the following priority: (a) Any demonstration-specific or project-specific
10 moneys shall be used on the project identified; and (b) All other funds shall be used to
11 ensure that projects in the fiscal biennium 2026-2028 Biennial Highway Construction
12 Plan are funded. If additional federal moneys remain after these priorities are met, the
13 Transportation Cabinet may select projects from the Highway Preconstruction Program.

14 **(10) Road Fund Cash Management:** The Secretary of the Transportation Cabinet
15 may continue the Cash Management Plan to address the policy of the General Assembly
16 to expeditiously initiate and complete projects in the fiscal biennium 2026-2028 Biennial
17 Highway Construction Plan. Notwithstanding KRS Chapter 45, specifically including
18 KRS 45.242 and 45.244, the Secretary may concurrently advance projects in the Biennial
19 Highway Construction Plan by employing management techniques that maximize the
20 Cabinet's ability to contract for and effectively administer the project work. Under the
21 approved Cash Management Plan, the Secretary shall continuously ensure that the
22 unspent project and Road Fund balances available to the Transportation Cabinet are
23 sufficient to meet expenditures consistent with appropriations provided. The
24 Transportation Cabinet shall provide quarterly reports to the Interim Joint Committee on
25 Appropriations and Revenue when the General Assembly is not in session and the
26 Standing Committees on Appropriations and Revenue when the General Assembly is in
27 session beginning July 1, 2026.

1 **(11) Carry Forward of Appropriation Balances:** Notwithstanding KRS 45.229,
2 unexpended Road Fund and General Fund appropriations in the Highways budget unit for
3 the Construction program, the Maintenance program, and the Research program in fiscal
4 year 2025-2026 and in fiscal year 2026-2027 shall not lapse but shall carry forward.
5 Unexpended Federal Funds and Restricted Funds appropriations in the Highways budget
6 unit for the Construction program, the Maintenance program, the Equipment Services
7 program, the Research program, and the Eastern Kentucky State Aid Funding for
8 Emergencies (EKSAFE) program in fiscal year 2025-2026 and in fiscal year 2026-2027,
9 up to the amount of ending cash balances and unissued Highway and GARVEE Bond
10 Funds, to include any interest income earned on those bond funds, and grant balances
11 shall not lapse but shall carry forward.

12 **(12) Federally Supported Construction Program:** Included in the above Federal
13 Funds appropriation is \$1,244,953,200 in fiscal year 2026-2027 and \$1,253,986,000 in
14 fiscal year 2027-2028 for federal construction projects.

15 **(13) Highways Maintenance:** Included in the above Highways Road Fund
16 appropriation is \$493,714,500 in fiscal year 2026-2027 and \$514,624,600 in fiscal year
17 2027-2028 for Highways Maintenance. Highways Maintenance positions may be filled to
18 the extent the above funding level and the Highways Maintenance continuing
19 appropriation are sufficient to support those positions.

20 **(14) Delayed Projects Status Report:** The Secretary of the Transportation
21 Cabinet shall report by September 30 of each fiscal year to the Interim Joint Committee
22 on Transportation any project included in the enacted Biennial Highway Construction
23 Plan which has been delayed beyond the fiscal year for which the project was authorized.
24 The report shall include:

- 25 (a) The county name;
- 26 (b) The Transportation Cabinet project identification number;
- 27 (c) The route where the project is located;

- 1 (d) The length of the project;
- 2 (e) A description of the project and the scope of improvement;
- 3 (f) The type of local, state, or federal funds to be used on the project;
- 4 (g) The stage of development for the design, right-of-way, utility, and
- 5 construction phases;
- 6 (h) The fiscal year in which each phase of the project was scheduled to
- 7 commence;
- 8 (i) The estimated cost for each phase of the project;
- 9 (j) A detailed description of the circumstances leading to the delay; and
- 10 (k) The same information required in paragraphs (a) to (i) of this subsection for
- 11 the project or projects advanced with funds initially scheduled for the delayed project.

12 **(15) Maintenance Reentry Employment Program:** Included in the above Road

13 Fund appropriation is \$1,000,000 in each fiscal year to support contracting with a

14 501(c)(3) nonprofit organization or other entity that employs individuals on probation or

15 parole supervision to perform crew-based maintenance services. These individuals will

16 be selected with input from the Department of Corrections and shall provide assistance

17 with litter abatement, graffiti removal, and vegetation control.

18 **(16) Grant Anticipation Revenue Vehicle (GARVEE) Bonds Reauthorization:**

19 The \$150,000,000 GARVEE Bonds authorized in 2024 Ky. Acts ch. 180, Part I, 4., (15)

20 are reauthorized.

21 **(17) Grant Anticipation Revenue Vehicle (GARVEE) Bonds Debt Service:**

22 Included in the above Federal fund appropriation is \$7,713,200 in fiscal year 2026-2027

23 and \$15,426,400 in fiscal year 2027-2028 for debt service payments related to the I-69

24 Ohio River crossing. Included in the above Road Fund appropriation is \$1,928,300 in

25 fiscal year 2026-2027 and \$3,856,600 in fiscal year 2027-2028 for debt service payments

26 related to the I-69 Ohio River crossing.

27 **(18) Grant Anticipation Revenue Vehicle (GARVEE) Bonds Reauthorization:**

1 The \$150,000,000 GARVEE Bonds authorized in 2022 Ky. Acts ch. 214, Part I, 4., (15)
2 are reauthorized.

3 **(19) Reauthorized Grant Anticipation Revenue Vehicle (GARVEE) Bonds**
4 **Debt Service:** Included in the above Federal fund appropriation is \$15,426,400 in each
5 fiscal year for debt service payments related to the Brent Spence Bridge Project.
6 Included in the above Road Fund appropriation is \$3,856,000 in each fiscal year for debt
7 service payments related to Brent Spence Bridge Project.

8 **(20) I-69 Ohio River Crossing:** Notwithstanding 2024 Ky Acts ch. 223, sec. 55,
9 the appropriation set forth in that section is not contingent upon award of a federal
10 Multimodal Project Discretionary Grant and shall be allocated to the 2024-2026 Biennial
11 Highway Construction Plan project number 2-1088.52.

12 **(21) I-69 Ohio River Crossing:** Notwithstanding KRS 176.431(1)(a), the 2024-
13 2026 Biennial Highway Construction Plan project number 2-1088.52 may utilize design-
14 build procurement methods.

15 **(22) I-69 Ohio River Crossing:** Pursuant to KRS 175B.020(10)(a)(5), the General
16 Assembly hereby authorizes the Kentucky Public Transportation Infrastructure Authority
17 (KPTIA) to act as the developing and issuing authority as described in KRS 175B.025, as
18 necessary to facilitate the completion, operating, and maintenance of the I-69 Ohio River
19 Crossing Project and hereby ratifies the financial plan for the Project adopted by KPTIA
20 Resolution 2025-1 and the bi-state development agreement for the Project approved by
21 KPTIA Resolution 2025-2.

22 5. JUDGMENTS

23 **(1) Payment of Judgments:** Road Fund resources required to pay judgments
24 shall be transferred from the State Construction Account at the time when actual
25 payments must be disbursed from the State Treasury.

26 6. PUBLIC TRANSPORTATION

27 2026-27

2027-28

1	General Fund	15,093,500	15,093,500
2	Restricted Funds	735,100	749,600
3	Federal Funds	41,838,100	41,873,800
4	TOTAL	57,666,700	57,716,900

5 **(1) Nonpublic School Transportation:** Included in the above General Fund
6 appropriation is \$5,000,000 in each fiscal year for nonpublic school transportation.

7 **7. REVENUE SHARING**

8		2026-27	2027-28
9	Road Fund	341,452,400	360,734,600

10 **(1) County Road Aid Program:** Included in the above Road Fund appropriation
11 is \$128,963,300 in fiscal year 2026-2027 and \$136,265,000 in fiscal year 2027-2028 for
12 the County Road Aid Program in accordance with KRS 177.320, 179.410, 179.415, and
13 179.440. Notwithstanding KRS 177.320(2) and (4), the above amount has been reduced
14 by \$38,000 in each year, which has been appropriated to the Highways budget unit for
15 the support of the Kentucky Transportation Center.

16 **(2) Rural Secondary Program:** Included in the above Road Fund appropriation
17 is \$156,447,400 in fiscal year 2026-2027 and \$165,305,200 in fiscal year 2027-2028 for
18 the Rural Secondary Program in accordance with KRS 177.320, 177.330, 177.340,
19 177.350, and 177.360. Notwithstanding KRS 177.320(1) and (4), the above amount has
20 been reduced by \$46,000 in each year, which has been appropriated to the Highways
21 budget unit for the support of the Kentucky Transportation Center.

22 **(3) Municipal Road Aid Program:** Included in the above Road Fund
23 appropriation is \$54,263,200 in fiscal year 2026-2027 and \$57,335,500 in fiscal year
24 2027-2028 for the Municipal Road Aid Program in accordance with KRS 177.365,
25 177.366, and 177.369. Notwithstanding KRS 177.320(4) and 177.365(1), the above
26 amount has been reduced by \$16,000 in each year, which has been appropriated to the
27 Highways budget unit for the support of the Kentucky Transportation Center.

(4) Energy Recovery Road Fund: Included in the above Road Fund appropriation is \$181,000 in each fiscal year for the Energy Recovery Road Fund in accordance with KRS 177.977, 177.9771, 177.978, 177.979, and 177.981.

(5) Continuation of the Flex Funds and the 80/20 Bridge Replacement Programs: The Transportation Cabinet shall continue the Flex Funds and the 80/20 Bridge Replacement Programs within the Rural Secondary Program.

8. VEHICLE REGULATION

	2025-26	2026-27	2027-28
Restricted Funds	-0-	23,983,900	22,826,200
Federal Funds	-0-	4,627,100	4,627,100
Road Fund	5,035,600	80,210,100	77,927,900
TOTAL	5,035,600	108,821,100	105,381,200

TOTAL - TRANSPORTATION CABINET

	2025-26	2026-27	2027-28
General Fund	-0-	16,759,000	16,777,200
Restricted Funds	-0-	244,096,200	243,559,700
Federal Funds	-0-	1,322,254,600	1,331,496,700
Road Fund	5,035,600	1,772,614,300	1,841,868,900
SUBTOTAL	5,035,600	3,355,724,100	3,433,702,500

PART II

CAPITAL PROJECTS BUDGET

(1) Capital Construction Fund Appropriations and Reauthorizations:
Moneys in the Capital Construction Fund are appropriated for the following capital projects subject to the conditions and procedures in this Act. Items listed without appropriated amounts are previously authorized for which no additional amount is required. These items are listed in order to continue their current authorization into the 2026-2028 fiscal biennium. Unless otherwise specified, reauthorized projects shall

conform to the original authorization enacted by the General Assembly.

(2) Expiration of Existing Line-Item Capital Construction Projects: All appropriations to existing line-item capital construction projects expire on June 30, 2026, unless reauthorized in this Act with the following exceptions: (a) A construction contract for the project shall have been awarded by June 30, 2026; (b) Permanent financing or a short-term line of credit sufficient to cover the total authorized project scope shall have been obtained in the case of projects authorized for bonds, if the authorized project completes an initial draw on the line of credit within the biennium immediately subsequent to the original authorization; and (c) Grant or loan agreements, if applicable, shall have been finalized and properly signed by all necessary parties. Notwithstanding the criteria set forth in this subsection and KRS 45.229 and 45.770(5)(d), funds appropriated to the 2024-2026 and 2026-2028 fiscal biennia maintenance pools shall not lapse and shall carry forward.

(3) Bond Proceeds Investment Income: Investment income earned from bond proceeds beyond that which is required to satisfy Internal Revenue Service arbitrage rebates and penalties and excess bond proceeds upon the completion of a bond-financed capital project shall be used to pay debt service according to the Internal Revenue Service Code and accompanying regulations.

(4) Appropriations for Projects Not Line-Itemized: Inasmuch as the identification of specific projects cannot be ascertained with absolute certainty at this time, amounts are appropriated for specific purposes to projects which are not individually identified in this Act in the following areas: maintenance pools. Notwithstanding any statute to the contrary, projects estimated to cost \$1,000,000 and over and equipment estimated to cost \$200,000 and over shall be reported to the Capital Projects and Bond Oversight Committee.

A. TRANSPORTATION CABINET

Budget Units	2026-27	2027-28
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1. GENERAL ADMINISTRATION AND SUPPORT

2 **001. Maintenance Pool - 2026-2028**

3	Road Fund	7,500,000	7,500,000
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4 **002.** Ballard County Maintenance Facility and Salt Storage Additional
5 Reauthorization (\$3,513,000 Road Fund)

6	Road Fund	-0-	500,000
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7 **003.** Construct Hopkins County Maintenance and Salt Storage Additional
8 Reauthorization (\$2,770,000 Road Fund)

9	Road Fund	-0-	200,000
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10 **004.** Construct Breckinridge County Maintenance and Salt Facility Additional
11 Reauthorization (\$3,500,000 Road Fund)

12 **005. Whitley County Maintenance Facility and Salt Structure Additional**
13 Reauthorization (\$4,500,000 Road Fund)

14	Road Fund	400,000	-0-
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15 **006.** Construct District 2 Office and Materials Lab Additional Reauthorization
16 (\$2,000,000 Road Fund)

17	Road Fund	-0-	250,000
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18 **2. AVIATION**

19 **001. Aircraft Major Maintenance Pool - 2026-2028**

20	Investment Income	1,200,000	1,200,000
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21	002.	Construct	Capital	City	Airport	Terminal	Building	Reauthorization
22		(\$9,000,000 Restricted Funds)						

23 **003. Construct One Aircraft Maintenance Hangar Reauthorization (\$6,910,000**
24 Restricted Funds)

25 **004.** Construct Sixteen New T-Hangers Reauthorization (\$2,750,000 Restricted
26 Funds)

27	005. Construct Two Medium Sized Box Hangars Reauthorization (\$1,600,000
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1 Restricted Funds)

2 **3. HIGHWAYS**

3 **001. Road Maintenance Parks - 2026-2028**

4	Road Fund	1,500,000	1,500,000
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5 **002. Various Environmental Compliance - 2026-2028**

6	Road Fund	500,000	500,000
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7 **003. Increase Truck Parking Capacity**

8	Federal Funds	5,000,000	-0-
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9 **004. Jefferson County - Lease**

10 **PART III**

11 **FUNDS TRANSFER**

12 The General Assembly finds that the financial condition of state government
13 requires the following action.

14 Notwithstanding the statutes or requirements of the Restricted Funds enumerated
15 below, there is transferred to the General Fund the following amounts in fiscal year 2026-
16 2027 and fiscal year 2027-2028:

17		2026-27	2027-28
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18 **A. TRANSPORTATION CABINET**

19 **1. Aviation**

20	Agency Revenue Fund	2,040,400	1,596,600
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21 (KRS 183.525(4) and (5))

22	TOTAL - FUNDS TRANSFER	2,040,400	1,596,600
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23 **PART IV**

24 **TRANSPORTATION CABINET BUDGET SUMMARY**

25 **OPERATING BUDGET**

26		2025-26	2026-27	2027-28
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27	General Fund	-0-	16,759,000	16,777,200
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1	Restricted Funds	-0-	244,096,200	243,559,700
2	Federal Funds	-0-	1,322,254,600	1,331,496,700
3	Road Fund	5,035,600	1,772,614,300	1,841,868,900
4	SUBTOTAL	5,035,600	3,355,724,100	3,433,702,500
5	CAPITAL PROJECTS BUDGET			
6		2025-26	2026-27	2027-28
7	Investment Income	-0-	1,200,000	1,200,000
8	Federal Funds	-0-	5,000,000	-0-
9	Road Fund	-0-	9,900,000	10,450,000
10	SUBTOTAL	-0-	16,100,000	11,650,000
11	TOTAL - TRANSPORTATION CABINET BUDGET			
12		2025-26	2026-27	2027-28
13	General Fund	-0-	16,759,000	16,777,200
14	Restricted Funds	-0-	244,096,200	243,559,700
15	Federal Funds	-0-	1,327,254,600	1,331,496,700
16	Road Fund	5,035,600	1,782,514,300	1,852,318,900
17	Investment Income	-0-	1,200,000	1,200,000
18	TOTAL FUNDS	5,035,600	3,371,824,100	3,445,352,500